ASSETPLUS

SIF IN ONE PICTURE FOR PARTNERS

Specialised Investment Funds

Where they came from, why they belong in your clients' portfolios, and how they can help build wealth over time.

Long — SIF ₹10 lakh+ — Short

1 Where SIF came from

SEBI built SIF to fill the gap between a ₹500 mutual fund SIP and a ₹50 lakh PMS, inside the safety of the mutual fund rules.

Before 2025 — The gap
Mutual funds started at a few hundred rupees, PMS at ₹50 lakh and AIFs at ₹1 crore. Nothing sat in between, and unregistered schemes promising high returns filled the space.

Jul 2024 — SEBI proposes
A consultation paper suggests a new product between mutual funds and PMS, run by mutual fund houses, from ₹10 lakh.

Dec 2024 — Approved
SEBI's board approves the Specialised Investment Fund framework.

27 Feb 2025 — The rulebook
SEBI's circular sets the rules: ₹10 lakh minimum, short bets up to 25%, a separate SIF brand, and a risk band from Level 1 to 5.

8 Oct 2025 — First SIF goes live
The first strategy publishes its NAV. Hybrid strategies follow within three weeks.

Jul 2026 — One licence
NISM Series V-D: one certification lets partners sell both mutual funds and SIFs.

Sep 2026 — ₹38,287 crore
35 strategies from 17 brands: 19 times the assets of the first month.

A market growing month by month



SIF assets at each month-end, ₹ crore. Source: AMFI.

2 Why it matters in a client's portfolio

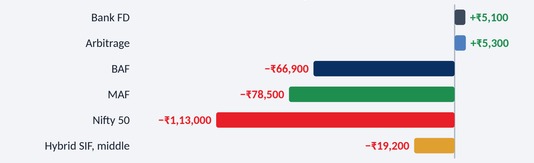
Most clients have money in two places: steady but modest (FDs, arbitrage) or growing but bumpy (equity). A SIF gives the middle a home.



The missing middle

FD and arbitrage on the left: steady, but modest. Equity on the right: growth, with big swings. A hybrid SIF sits in between, from ₹10 lakh, inside the mutual fund rules.

The bad month test: March 2026, when the Nifty fell 11.3%



Gain or loss on ₹10 lakh in one month, before tax.

₹10 lakh over the last 12 months

₹10,75,100	₹10,61,000	₹10,60,400	₹8,87,600
hybrid SIF, middle of 3	bank FD	arbitrage funds	Nifty 50

31 Oct 2025 to 23 Oct 2026, before tax. Only 3 hybrid SIFs have a full year; they ended between ₹10,16,400 and ₹12,25,600.

Where it fits: an illustrative ₹1 crore portfolio

₹50L	₹20L	₹20L	₹10L
Equity funds	Hybrid SIF	Arbitrage and debt	FD
growth over 7+ years	the steadier middle	money for 1 to 2 years	emergencies

For your client

- Idle FD and arbitrage money gets a better job
- Smaller falls than equity in bad months
- Tax paid only when they sell

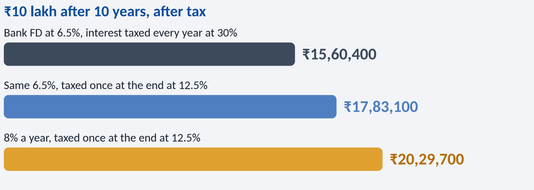
For your practice

- Tickets of ₹10 lakh and more
- An answer for clients curious about PMS
- Keeps HNI money with you, not with a bank

3 How it can build wealth over time

Two engines work for a long-term SIF investor. The first is tax: an FD is taxed every year, while an equity-taxed SIF is taxed once, when sold, at 12.5%. The second is the chance of a higher return. The first engine works even if returns are the same.

₹10 lakh after 10 years, after tax



Illustration, not a forecast. 30% slab investor; equity-taxed SIF held over 1 year, with the ₹1.25 lakh yearly exemption used once; no surcharge or cess. Paying tax once instead of every year adds ₹2.23 lakh at the same 6.5%.

Five habits for long-term SIF wealth

1. Stay 2 years or more
2. Keep it a slice: 10 to 25%
3. Review once a year, not every month
4. Choose on strategy and risk band
5. Stay invested through bad months

Be honest with clients

SIFs are about a year old. Nobody knows their 10-year returns yet. The numbers above show how tax and compounding work; real results depend on the strategy and the manager, and a SIF can lose money.

For AssetPlus partners (registered mutual fund distributors). Mutual Fund investments are subject to market risks, read all scheme related documents carefully. Past performance may or may not be sustained in future. Investments in Specialized Investment Funds involve relatively higher risk, including potential loss of capital, liquidity risk and market volatility. Please read all SIF related documents carefully before investing. Sources: SEBI (consultation paper Jul 2024, circular 27 Feb 2025), AMFI SIF assets and NAVs (our calculations, Regular plans, growth), NSE Indices, RBI. Certification rule as reported from SEBI's July 2026 circular. Data to 23 Oct 2026.